Brazil Macro Monthly

External volatility and local pressures challenge the Copom

- We see the Fed starting to cut rates in July, although we expect a hawkish easing cycle amid sticky inflation and a tight labor market. Fuel prices rebounded in Q1, posing renewed upside risks to inflation;
- In Brazil, we continue to project GDP to grow by 2% in 2024 and 2025. Labor market dynamics play a leading role, especially the continuous increase in wages;
- The government avoided a spending freeze in March, but uncertainties about revenue boosting measures have increased. We have revised our central government deficit projections to 0.7% of GDP in 2024 and 1.0% of GDP in 2025;
- The exchange rate remains under pressure, in line with a more conservative Fed and deteriorating terms of trade. We see room for appreciation in the second half, although acknowledging an upward bias to our current projection of BRL/USD 4.70 YE;
- Recent inflation data reinforce the benign trajectory of goods prices, while the services remain a concern. We keep our projection for the IPCA inflation at 3.5% for 2024 and 4.0% for 2025, although there are risks of higher than estimated fuel inflation;
- We keep our terminal Selic rate forecast at 9.0%, with an upward bias due to external risks and heated domestic demand. Market projections for 2025 IPCA are likely to edge up, limiting further the room for monetary easing.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	2.0	2.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	7.8	8.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.5	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	9.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	4.70	4.90
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.7	-1.0
Primary balance for target calculation (% GDP)*	--	--	--	--	--	-0.7	-0.7
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.5	-0.8
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.2	79.4
Trade Balance (USD Bn)	26.5	32.4	36.4	44.2	80.5	83.0	80.0
Exports (USD Bn)	225.8	210.7	284.0	340.3	344.4	354.5	361.0
Imports (USD Bn)	199.3	178.3	247.6	296.2	263.9	271.5	281.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-48.3	-28.6	-27.0	-32.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.5	-1.3	-1.1	-1.3
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	75.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.0	3.0
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,368	2,543
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,486	12,208

* Excludes court-ordered payments beyond the limits

Source: IBGE, BCB, Bloomberg, XP

Foreword – The uncertainty highlighted by the Copom

After its latest meeting, the Brazilian Monetary Policy Committee (Copom) highlighted "heightened uncertainty and the need for more flexibility in the conduct of monetary policy." These uncertainties also make our job of forecasting the Brazilian economic outlook more difficult.

Globally, it is difficult to assess how much space DM central banks have to ease monetary policy this year. We still see the Fed cutting rates in the second half, but probably by less than initially expected. In Europe, risks are more balanced, and the ECB seems to have more space to cut. In China, in turn, activity appears to be recovering, but still amid high volatility and risks.

Against this backdrop, the BRL is not strengthening as we and most market participants expected at the beginning of the year.

Domestic factors also play a role. Despite better short-term economic forecasts highlighted in our previous report, pressure for higher fiscal and quasi-fiscal expenditures are mounting amid lowering government's approval. Questioning about the relationship between the Executive branch and state-owned companies have also risen.

Higher expenditures tend to keep domestic demand heated and services inflation under pressure.

In our view, it is getting (even) more challenging for the Copom to meet its 3.0% inflation target next year.

Having said that, we haven't made relevant changes to our central forecasts this month. We still see GDP growth at 2.0% in 2024, IPCA inflation of 3.5%, the Selic rate reaching 9.0%, and the BRL ending the year at 4.70 reais to the dollar.

But our confidence in those forecasts has fallen somewhat since last month.

Global backdrop – The Fed lays the ground for rate cuts while risks persist

Francisco Nobre

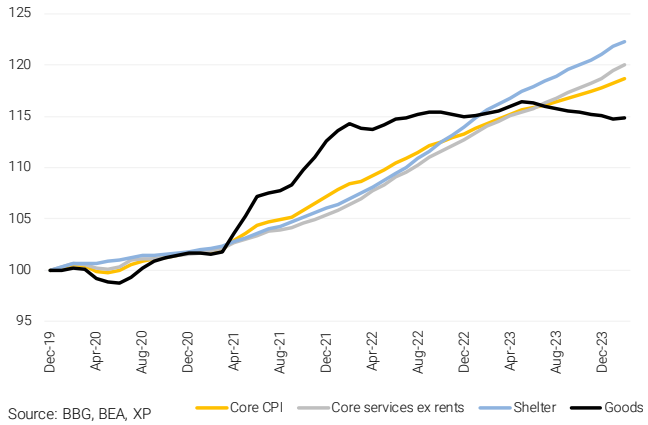
The Fed is likely to cut soon… FOMC members' economic projections consider strong economic growth, low unemployment, and inflation still above target. On the other hand, Chairman Powell highlighted progress in combating inflation - despite high readings in January and February - and signaled the Fed's intention to cut benchmark interest rates soon. In short, it seems to us that the Fed is laying the ground for a first rate cut around mid-year.

… although we expect a hawkish easing cycle. We believe that there is no reason for the Fed to be in a hurry to cut rates, given that the labor market remains tight, and inflation above target. Services inflation has shown concerning signs of reacceleration, while the downside contribution from goods inflation is not likely to last much longer, given the divergence in relative price increases since the pandemic (graph). In addition, fiscal policy remains very expansionary, boosting aggregate demand. We are still penciling in a first rate cut in July, and our base case scenario considers sequential 25 bps cuts throughout the second semester, although the Fed may well adopt a slower easing pace, potentially cutting rates on a quarterly tempo.

Conditions seem favorable for the ECB to start easing before the Fed. At their March meeting, the ECB signaled their intention to cut rates starting in June. Conditions are becoming more favorable given that: (1) monthly variations of service inflation hovered around pre-pandemic levels in 2H23 (graph); (2) activity has shown increasing signs of weakness; and (3) wage growth is slowly moderating. Still, we highlight that inflation remains above target, and the services component showed signs of reacceleration in 1Q24, requiring caution. We believe that the key element to determine whether the ECB will start cutting rates is the wage inflation data for 1Q24. We continue to expect the ECB to cut rates in its June meeting – a call that we have been holding onto since the end of the tightening cycle. The ECB has not committed to an easing pace, although we see more conformable space for sequential 25 bps cuts until the end of the year.

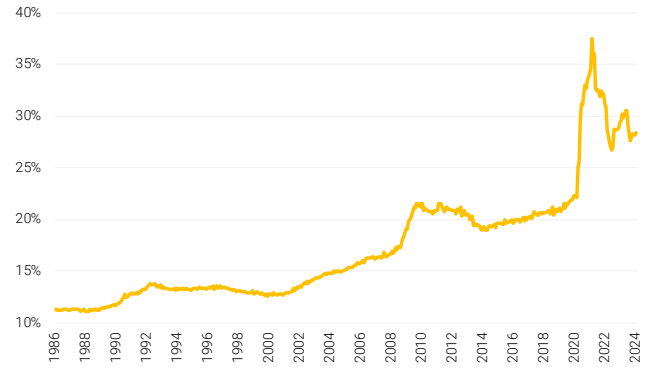
China has a good start to the year, although we still see weaker growth ahead. Data published this year showed better performance in retail sales, industrial production, and external trade. Recent PMI figures climb back to above the 50-points threshold. The good performance reflects, in large part, ongoing fiscal and monetary stimulus from the

Price level path in the United States differs between groups
US CPI. December 2019 = 100



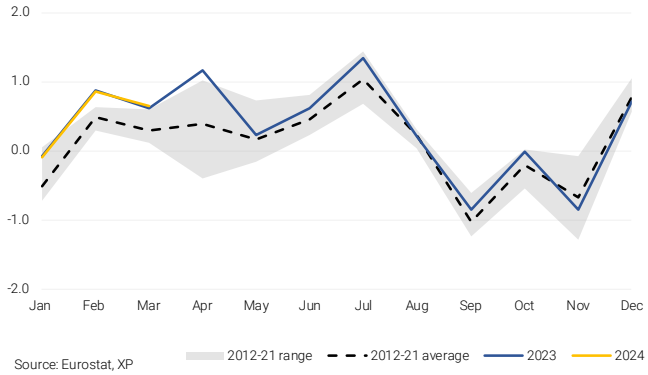
Source: BBG, BEA, XP

Fiscal policy remains expantionary in the US even after COVID
US Treasury Federal Budget Debt Net Outlays. 3MMA (% of GDP)



Source: Bloomberg, XP

Eurozone core services inflation hovers around historical trends
Harmonized Index of Consumer Prices (MoM %)

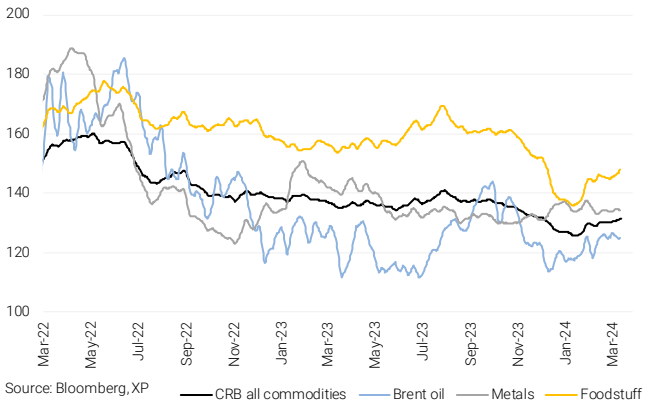


Source: Eurostat, XP

government. We still think that achieving the 5% growth target for this year will prove challenging due to weakness in the real estate sector, slow consumption growth, and the soft labor market. Yet, China's recent economic recovery is positive news for EMs, particularly commodity-exporters such as Brazil.

The optimism from falling oil prices in 4Q23 has been partially reversed in 1Q24. Metal commodities have been well-behaved due to weaker global demand, especially from China. Meanwhile, foodstuff continues to trend up despite our view that prices should ease soon, supported by record harvest gains. On the energy side, Brent oil prices increased by 14% to USD 87.50 per barrel in the first quarter (after falling 19% in 4Q23) and stands at its highest level since October. The risk of additional upside shifts cannot be ruled out due to lingering geopolitical tensions, which, if persistent, would pressure global inflation.

Global commodity prices rebound in 1Q24
Commodities index. Jan20=100.



BRAZIL – External volatility and local pressures challenge the Copom

Activity – Better than expected start to the year

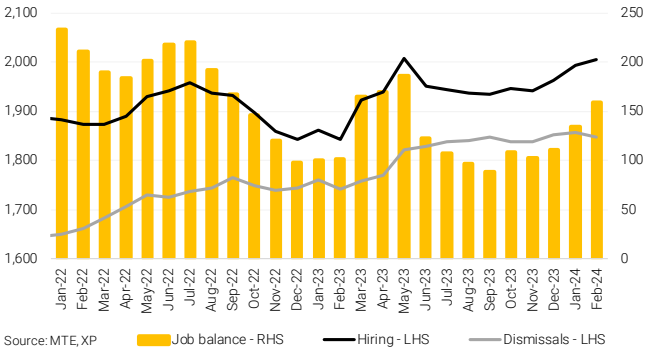
Rodolfo Margato

Activity and labor market indicators surprised positively at the beginning of 2024. The most cyclical sectors of the Brazilian economy have gained steam in recent months. Real services revenues, retail sales, and manufacturing production grew above expectations in January. Furthermore, labor market statistics have brought even more encouraging signs, especially on formal employment. The CAGED report reported a net creation of 375k formal jobs in the first two months of 2024, compared to 245k in the first two months of 2023.

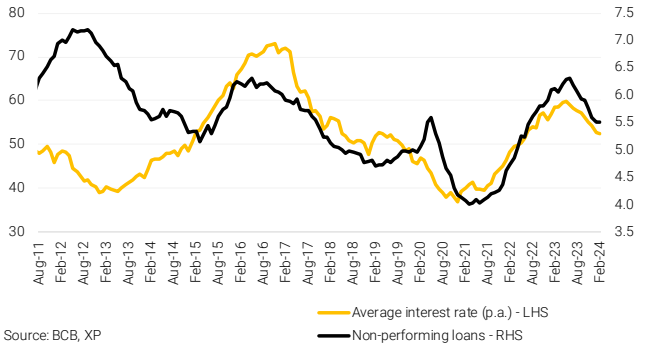
High uncertainty about the pace of economic growth throughout the year. In our opinion, the strong expansion of the main sectors in January should be taken with a grain of salt. For instance, coincident indicators for February retail sales suggest a partial payback of the increase recorded in the previous month. Still, the big picture of short-term economic activity is better than initially expected.

We continue to project a 2.0% growth for 2024 GDP, on the back of increasing disposable income and credit market recovery. We estimate that total GDP expanded by 0.7% QoQ in 1Q24 (2.4% YoY), after flattish results in the previous two quarters. On the demand side, the resilience of consumption and the resumption of investments stand out. Real household disposable income remains on the rise,

Formal employment gained steam in early 2024
3MMA s.a. (in thousands of jobs)



Falling interest rates and non-performing loans improve credit conditions ahead
Credit concessions for individuals, non-earmarked resources (%)

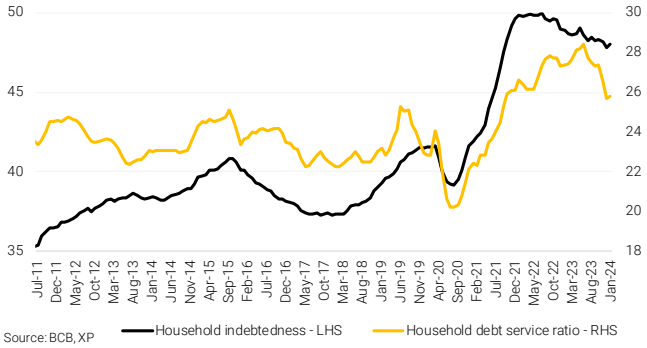


given the solid labor market coupled with high fiscal transfers. Additionally, the main credit indicators are recovering, in line with the gradual loosening of monetary conditions. The improvement in credit concessions for companies draws attention, following a sharp contraction in the first half of the year.

Wage dynamics remain in the spotlight. As mentioned above, the outlook for the labor market is constructive. The unemployment rate is hovering at the lowest levels since the beginning of 2015 (between 7.5% and 8.0%), which reflects the increase in employed population in tandem with the labor force participation rate still far below pre-pandemic levels. Real wages have been growing since 3Q23, despite some signs of moderation in the first months of 2024. In its recent official communication, the Central Bank has emphasized wage pressures as a risk to the disinflation process, particularly their potential impact on services prices. As discussed in the *Monetary Policy* section of this report, the tight labor market is one of the factors that could limit the current easing cycle in Brazil. We project that the unemployment rate will end 2024 at 7.8%, while real average labor earnings are expected to rise by 2.5% this year.

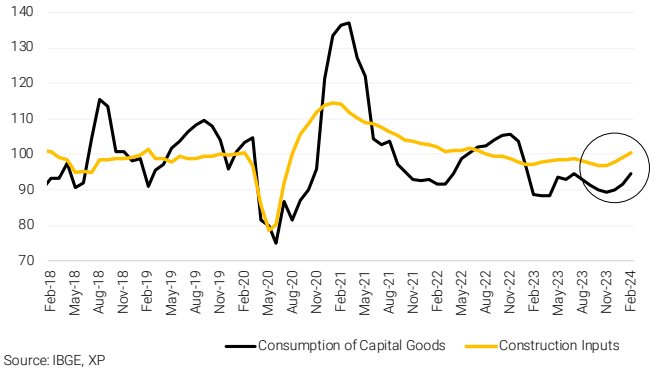
Finally, our expectation for 2025 GDP growth also remains at 2.0%. The lagged effects of easing cycles, in Brazil and in the main developed economies (see section on *Global Backdrop*), should keep the pace of economic growth close to potential.

Household debt service remains elevated, but the worst is behind us
(%)



Source: BCB, XP

Early signs of investment recovery
2022 = 100. 3MMA s.a.



Source: IBGE, XP

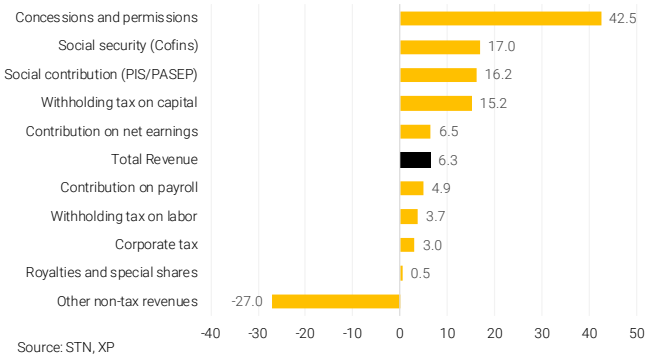
Public finance – Uncertainty grows, but a change in the primary target should not occur so soon

Tiago Sbardelotto

February saw a record deficit due to the advance payment of court-ordered debt. Despite the 12.3% real revenue growth, the primary result for February showed a deficit of BRL 58.4 billion, the worst in the historical series for the month. This result was largely due to the early payment of court-ordered debt, which usually takes place in June or July. Without this effect, there would be a deficit of BRL 28.8 billion - still significant, but lower than that recorded last year (BRL 40.6 billion). Also noteworthy is the significant increase in net revenue (23.4%), on the back of revenue boosting measures approved last year.

The government maintains its target but avoids a spending freeze. In the first revision of the year, the Revenue and Expenditure Assessment Report reduced the forecast for

Revenue should increase above inflation this year...
12M real change (%)



Source: STN, XP

the primary result from a surplus of BRL 9.1 billion to a deficit of BRL 9.3 billion. As this figure is above the lower limit of the primary deficit target (BRL 28.8 billion), there was no expenditure freezing. Although this is possible under the new fiscal framework, it also indicates that the government will seek a result closer to the lower limit than to the actual target.

We have revised our deficit projection for 2024. We expect lower revenue gains from recent revenue-raising measures. We also consider the impact from payroll tax exemptions, among others. As a result, we now estimate a deficit of BRL 79.1 billion (0.7% of GDP), compared to BRL 74.5 billion (0.6% of GDP) in our previous report.

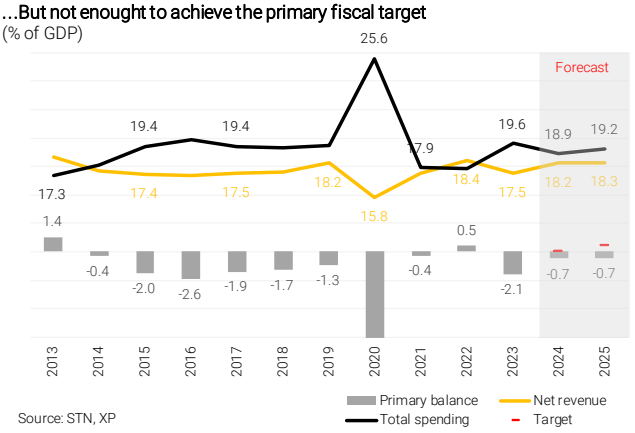
The 2025 primary balance target is the next challenge. By mid-April, the government must submit the 2025 budget guidelines bill to Congress, which will set the primary balance target for next year. Previously, the government had indicated a surplus of 0.5% of GDP, but the challenges are significant. Our projection considers a deficit of BRL 84.5 billion (0.7% of GDP) - excluding expenses with court-ordered debts paid outside the limit, which are not included in the target (BRL 116.7 billion or 1.0% of GDP with these expenses). Therefore, we understand the government needs to boost revenue by BRL 145 billion (1.2% of GDP) to reach next year's set target.

Consolidated public sector (including states, municipalities, and state-owned companies) improved marginally. Revenue from states inched up over 11%, reflecting the increase in ICMS tax rates. We also expect federal government transfers to grow by 6.8% above inflation, which should increase primary balance for subnational entities. As a result, we estimate a deficit of BRL 55.8 billion (0.5% of GDP) in 2024 and BRL 99.5 billion (0.8% of GDP) in 2025 for the public sector. This comes from a deficit of BRL 67.7 billion (0.6% of GDP) for 2024 and BRL 122.6 billion (1.0% of GDP) for 2025, in our previous report.

Public debt is expected to reach 77.1% of GDP this year. In the coming months, we estimate that the primary deficit and nominal interest rates will drive debt to 77.1% of GDP in 2024 (77.2% previously) and 79.2% of GDP in 2025 (79.4% previously). Our estimates show that, without changes to the current fiscal framework, debt should only stabilize at the beginning of the next decade.

Change to the primary balance target postponed. In May, the government will be able to increase the spending limit. The new fiscal framework allows it to incorporate the difference between last year's adjustment (1.7%) and the framework's limit (2.5%), if estimated revenues for 2024 grow by more

...But not enought to achieve the primary fiscal target
(% of GDP)



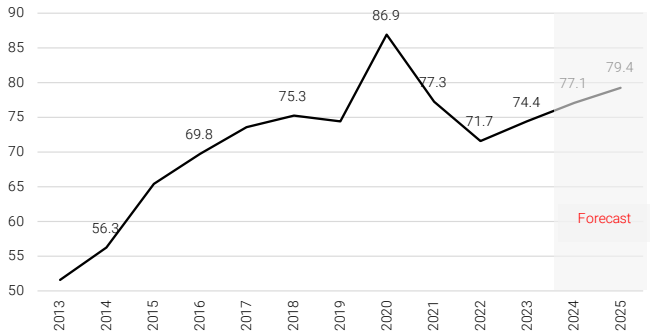
Source: STN, XP

Fiscal Monitor BRL Bn

Measures	Government Budget	Government Bimonthly	XP Current
Return of PIS/Cofins on fuels	54.0	54.0	54.0
Excluding ICMS from PIS/Cofins base	58.0	58.0	18.0
Transfer pricing	-	-	4.0
Legal deposits on Caixa Econômica Federal	-	15.0	14.8
Change on ICMS subsides	35.3	25.9	24.3
Online bets taxation	2.0	2.0	2.8
E-commerce taxation	2.9	-	-
Exclusive funds taxation	13.3	13.3	15.8
Taxation of investments abroad	7.1	5.6	7.1
Change of interest on equity (IoE)	10.0	-	2.0
Credit recovery at board of tax appeals (CARF)	54.7	55.6	30.0
Tax transactions	43.2	43.2	10.0
Review of railway concession contracts	34.5	17.2	4.0
Payroll tax exemption	12.0	-	-
Change in events sector tax exemption (PERSE)	-	6.0	3.3
Social security tax relief for municipalities	-	-	-2.0
Limiting tax compensations	-	24.0	16.0
Total	**326.9**	**319.8**	**204.0**

Source: 2024 budget, bimontly report, XP

Public debt continues to grow in the upcoming years
General Government Gross Debt (% of GDP)



Source: BCB, XP

than 3.6% compared to 2023. However, an increase in the limit can only be effectively implemented if the forecasted deficit is less than BRL 13.0 billion - otherwise, the government will be forced to make a spending freeze. In our opinion, the change in the primary target should only take place in the second half of the year, during the discussion of next year's budget – as to avoid the punishments of the new fiscal framework.

External Accounts – Exchange rate remains under pressure

Rodolfo Margato

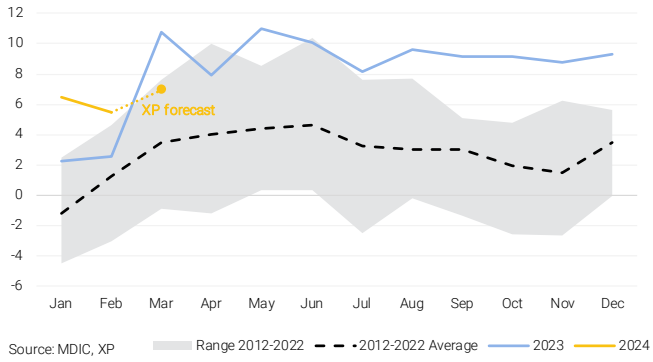
Further exchange rate depreciation in recent weeks. The BRL did not appreciate as anticipated. Factors including Fed's hawkish stance, a deterioration in terms of trade (relative to last year), and domestic political noise have reduced the attractiveness of Brazil's currency. We still see room for BRL appreciation throughout the year, especially in the second half, **but we recognize an upward bias to our exchange rate forecast of BRL/USD 4.70 for the end of 2024.**

However, our fundamentals-based models do not justify the exchange rate above R$/US$ 5.00 on a sustained basis.

Slowdown in the trade balance, but the outlook is still quite favorable. The trade balance lost steam in March, after a better-than-expected performance in the first two months of 2024. Exports should advance more moderately in the coming months, owing chiefly to lower iron ore and agricultural prices. In turn, imports are expected to increase gradually, given rising demand from the manufacturing industry. Hence, our projection of a record trade balance in 2024 (USD 83 billion as per the Central Bank's methodology) may not materialize, although the performance will likely be much higher than the historical average.

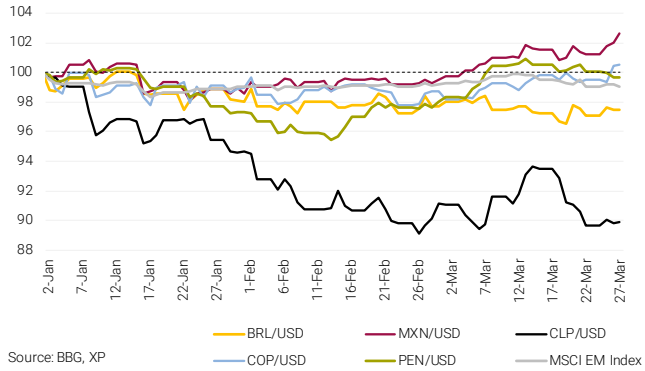
Low current account deficit and growing FDI. The current account deficit should end 2024 close to the level recorded in 2023, that is, slightly below USD 30 billion. As a share of GDP, our estimates point to a deficit of 1.1% this year, compared to 1.3% last year and an average of approximately 3.0% since 2011. Meanwhile, net inflows in FDI – Foreign Direct Investment – are expected to total USD 70.0 billion in 2024 (3.0% of GDP), above the USD 62.0 billion recorded in 2023 (2.9% of GDP).

Trade balance weakened in March, after strong performance in the first two months of 2024
(USD Bn)



Source: MDIC, XP

BRL depreciated relative to other Latin American currencies
Exchange rate index, Jan/2023=100 (upward move = appreciation)



Source: BBG, XP

Inflation – Consumer inflation remains close to target, but the breakdown is still challenging

Alexandre Maluf

Industrialized goods and foodstuffs remain benign. The latest IPCA readings showed industrialized inflation close to zero, what should continue in the short term due to the fall in wholesale production costs. Foodstuff presented resistance in the latest readings, although the impacts of El Niño should dissipate from April onwards.

Services inflation, however, remains stubborn. Since January, we have been expressing our unease about services prices dynamics. Copom reinforced this concern in its official communication, expressing that services' underlying metrics are no longer close to the target. Effectively, considering the 3M-SAAR metric, core services remain close to 6%, while labor-intensive services hit even higher. Looking ahead, we expect some accommodation, in line with our scenario of a slowdown in income - already seen in the February PNAD report - and better-behaved dynamics in 'food away from home', which weighs 30% in 'underlying services'. Even so, we estimate that inflation in the underlying services group should end in 2024 at around 5%.

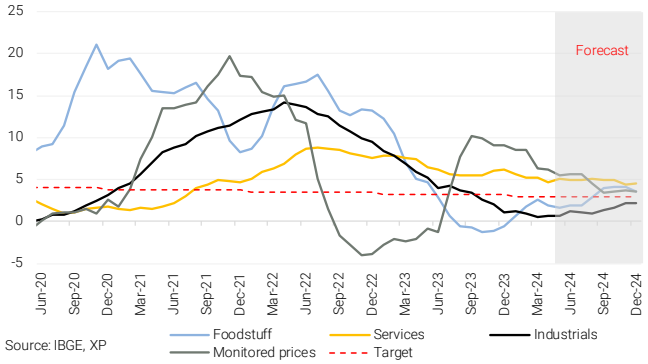
Regarding monitored prices, electricity helps... As anticipated in our previous report, the government has moved forward with the proposal to use funds from the privatization of Eletrobras to reduce energy bills. These relate especially to that paid in instalments during the pandemic (the so-called 'COVID bill') and the droughts of 2021 and 2022 ('water scarcity bill'). The impact on the IPCA (-0.16pp) will be felt in 2024 and, unlike most market economists, was already included in our base scenario.

...while fuels are once again a concern. After weak inventory data in US, Ukrainian shelling on Russian refining infrastructure and escalating conflicts in the Middle East, we recognize the upside risk for fuels in the short term. The disparity between domestic and international prices is around 20% for gasoline. For now, our scenario does not consider any price readjustments by Petrobras. Without them, we expect low variations for gasoline, diesel and ethanol in 2024.

In short, combining the favorable winds for falling prices in non-cyclical groups with prolonged pressure from services and other demand-sensitive sectors, **we kept our inflation projection at 3.5% for 2024.** The underlying risks for this projection seem balanced for now.

IPCA inflation components should be more balanced in 2024, ending the year close to target

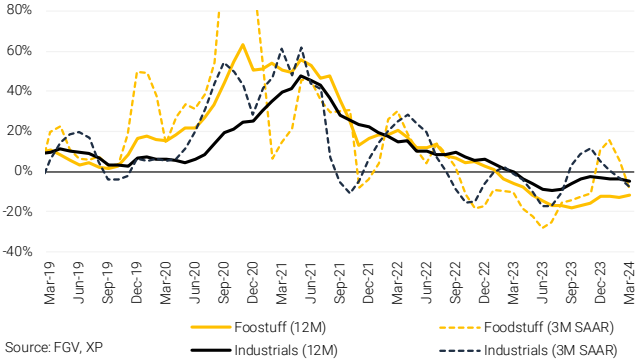
IPCA 12M (%)



Source: IBGE, XP

Wholesale deflation persists, reinforcing benign scenario for industrials and foodstuff prices in the short term

Producer Prices Index

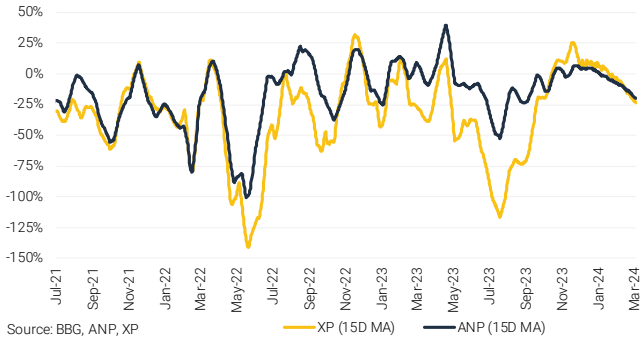


Source: FGV, XP

And at 4.0% for 2025. For next year, we see a normalization of food and industrial inflation, which are still running at historically low levels. Meanwhile, services should remain above target, reflecting stimulus to aggregate demand. As reiterated in previous reports, the expansionary bias of (para)fiscal policy and unanchored inflation expectations (above 3.0%) make reaching the target over the relevant monetary policy horizon more challenging.

Gasoline prices 20% below international parity put pressure on Petrobras for readjustments

Estimated gap between international and domestic gasoline prices



Source: BBG, ANP, XP

Monetary Policy – "heightened uncertainty" reinforces upward risk to our Selic forecast

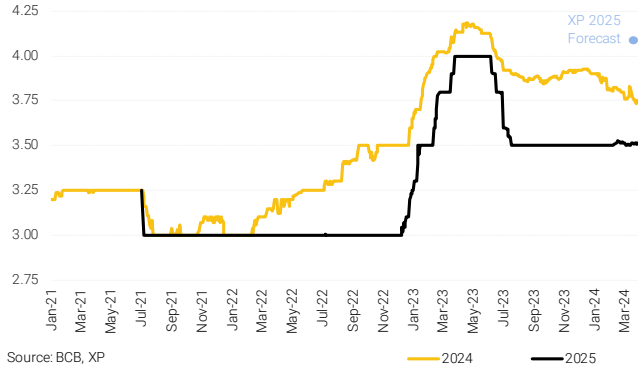
Caio Megale

The Copom needs "more flexibility" due to "heightened uncertainty". That was BCB's key signaling after its latest monetary policy committee´s (Copom) meeting. Higher uncertainty is related to the path of monetary policy in DMs and whether strong domestic demand and tight the labor market will keep services inflation under pressure.

We agree with the Copom that it is challenging to reach the 3.0% IPCA target in 2025 – the current relevant horizon for the committee. Recent IPCA readings suggest inflation is currently above the target. Looking forward, i) expansionary bias of fiscal (and quasi-fiscal) policy should keep economic activity strong; ii) credit concessions should continue to step up, on the back of lower interest rates and less risky microeconomic environment; and iii) goods inflation may reaccelerate in the second half, due to higher commodity prices.

Strong demand and cost normalization tend to pressure the inflation for 2025

Focus Survey. Median Consensus Forecast (%)



Source: BCB, XP

In other words, inflation is running above the target, and we see no major driver to bring it down in the coming quarters. We see 2025 IPCA forecasts – currently at 3.50% according to the BCB's Focus Survey – eventually drifting up to our 4.0% forecast. If we are right, it will be difficult to justify cutting the Selic rate much further in this environment.

Single digit remains the base case. Monthly consumer inflation should remain low in the short term, benefited by negative producer price inflation. Moreover, real interest rates at around 6.0% remain considerably above neutral. Thus, we still see the Copom bringing the Selic rate (currently at 10.75%) to single digits, most likely through two additional 50-bps cuts in May and June.

After reaching 9.75%, the Copom should reduce the easing pace to 25 bps per meeting and fine-tune the moment for a pause. Despite the "heightened uncertainties," we still did not change our forecast for other macroeconomic variables (see sessions above). Therefore, for now we keep our

terminal Selic rate forecast at 9.00%, with three 25-bps cut in the second half of the year.

The risk is tilted to the upside. If 2025 inflation expectations indeed start to rise, the Copom may opt to pause the easing cycle earlier, with the Selic rate within the 9.75-9.25% interval.

XP Forecasts	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	2.9	2.0	2.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.6	7.8	8.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.5	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	9.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.9	4.70	4.90
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.7	-1.0
Primary balance for target calculation (% GDP)*	--	--	--	--	--	-0.7	-0.7
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.5	-0.8
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	74.42	77.2	79.4
Trade Balance (USD Bn)	26.5	32.4	36.4	44.2	80.5	83.0	80.0
Exports (USD Bn)	225.8	210.7	284.0	340.3	344.4	354.5	361.0
Imports (USD Bn)	199.3	178.3	247.6	296.2	263.9	271.5	281.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-48.3	-28.6	-27.0	-32.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.5	-1.3	-1.1	-1.3
FDI (USD Bn)	69.2	38.3	46.4	74.6	62.0	70.0	75.0
FDI (% GDP)	3.7	2.6	2.8	3.8	2.9	3.0	3.0
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,172	2,368	2,543
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,856	11,486	12,208

* Excludes court-ordered payments beyond the limits

Source: IBGE, BCB, Bloomberg, XP

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